INTERNAL COMMUNICATION
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POLICY NUMBER: **FP-FIN-032**

ACCOUNTS RECEIVABLE - ALLOWANCE FOR CREDIT LOSSES

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for its allowance for credit losses associated with its accounts receivable in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Assessing the collectability for outstanding accounts receivable is a subjective process. This policy serves to provide a framework in assessing the collectability of outstanding accounts receivable and the related accounting treatment.

SCOPE

This policy covers all receivables due to Hilton including fees due under the terms of its Management and Franchise contracts (“MA” and “FA” respectively) as well as corporate receivables due from strategic partners. Examples of the types of receivables Hilton is owed include but are not limited to:

- Management and/or license fees;
- Program fees and Group Service and Benefit (“GSB") fees;
- Development Service Fees (“DSF”) and Technical Service Fees (“TSF”);
- Application fees;
- Fees due from Hilton Grand Vacations (“HGV”);
- Honors strategic partner fees;
- HSM rebates from suppliers;
- Reinsurance recoverables;
- Refundable deposits

The assessment of collectability is performed at the customer level. For purposes of this policy, the terms “receivable”, “collectability” and “initial assessment” all refer to receivables associated with a customer and the terms “allowance”, “reserve” and “bad debt provision” are used interchangeably.

APPLICABILITY

This policy applies to all Finance personnel, as well as Development.

EXCLUSIONS/ EXCEPTIONS

This policy does not address accounts receivable related to Hilton’s owned/ leased or operated hotels. Refer to **FP-OPSFIN-125 – Bad Debt Reserve and Write-offs** for details on how to account for bad debt provisions and write-offs at these properties.

This policy does not address financing receivables related to Hilton’s customers. Refer to **FP-FIN-010 – Financing Receivable Accounting Policy** for details on how to account for bad debt provisions related to financing receivables.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy (“R&P”) must be notified if any of the following conditions exist:

1. No reserve has been established for a receivable (greater than $5 million) that has been outstanding 90 days.
2. Ongoing revenues recognized on an accrual basis surpass $1 million once the existing receivable has been reserved for 100%.
3. Hilton has provided a concession (i.e., forgiveness of fees) to the customer in excess of $1 million.

Please contact a member of the R&P team or AccountingResearchPolicy@Hilton.com.

INITIAL RECOGNITION AND MEASUREMENT

a. Initial Assessment of Collectability

Hilton’s **FP-FIN-020 – Revenue Recognition Accounting Policy** provides a comprehensive overview of Hilton’s revenue recognition criteria. One of the criteria for revenue recognition is that Hilton must assert that it is probable that it will collect substantially all of the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer.[1] This assessment must take place upon the execution of the contract prior to the recognition of any fees from the contract.

The determination of collectability is assessed on the customer's or counterparty's ability to pay based on their financial capacity and its intention to pay considering all relevant facts and circumstances, including past experiences with that customer or that type of customer.

As part of Hilton's internal approval process for new contracts, a due diligence review is performed over the customer. Hilton does not typically enter into agreements where it believes that it will not substantially collect all of the consideration to which it will be entitled or if there are other questionable factors related to the customer's or counterparty's creditworthiness. As such, upon the execution of newly executed contracts Hilton believes that it will collect substantially all of the consideration to which it will be entitled unless extenuating circumstances exist.

Hilton accounts for revenues and the associated receivables, depending on the results of the initial assessment of collectability, using one of the two following methods:

Hilton will Collect Substantially All Consideration

If it is probable that Hilton will collect substantially all of the consideration to which it is entitled, revenue should be recognized in accordance with the **FP-FIN-020 – Revenue Recognition** and **FP-FIN-030 – Revenue Recognition - Management & Franchise Contracts** accounting policies.

Hilton will not Collect Substantially All Consideration

If it is not probable that Hilton will collect substantially all of the consideration to which it is entitled, revenue should only be recognized when one or more of the following events have occurred:

1. There are no remaining obligations to transfer goods or services to the customer and all, or substantially all, of the consideration promised by the customer has been received and is nonrefundable.
2. The contract has been terminated, and the consideration received from the customer is nonrefundable.
3. The goods or services to which the consideration received related to has been transferred and Hilton has stopped transferring goods or services to the customer and has no obligation under the contract to transfer additional goods or services, and the consideration received from the customer is nonrefundable.[2]

Until Hilton has either terminated the contract or stopped providing services, no revenue should be recognized. Any cash received should be recognized as deferred revenue until one of these conditions have been met or the conclusion related to the probability of collection has changed. Refer to **FP-FIN-020 Revenue Recognition Policy** for more details.

b. Concessions to Customers

In certain cases, Hilton may determine it will accept a lower amount of consideration from the customer than what was contractually agreed or owed. In these situations, Hilton has concluded the customer has the financial ability to pay but may choose to withhold payment due to dissatisfaction with Hilton's performance. Such accommodations are concessions of past fees. Thus, Hilton should record a reduction to revenue by the amount of the concession in the period Hilton expects to communicate the price concession to the customer with a corresponding reduction in accounts receivable in the same period. The reduction to revenue is classified in the same income statement line item where the revenue was originally recognized. Further, no allowances should be recognized for concessions. Concessions may be communicated to the customer either in a written contract amendment or verbally.

As mentioned above, Hilton must assess if it is probable that it will collect substantially all consideration to which it is entitled. In assessing if it is probable that it will collect substantially all consideration to which it is entitled in instances where a concession has occurred, Hilton considers the following criteria:

- The reason Hilton granted the concession

[1] *ASC 606-10-25-1, Revenue from Contracts with Customers, Overall, Recognition*
[2] *ASC 606-10-25-7, Revenue from Contracts with Customers, Overall, Recognition*

- The number, frequency, and nature of concessions historically granted
- The amount of the concession as a percentage of the total arrangement consideration. For purposes of evaluating this criterion, any concession equal to or greater than 10% of the arrangement consideration should be considered significant.

Concessions in excess of USD $500k must be reported via the monthly AR summary reporting process. The team members responsible for accounting for the related concession must also document Hilton's assessment of whether it is probable that it will collect substantially all consideration to which it is entitled within the AR summary reporting process.

c. Allowance for Credit Losses

At the end of each reporting period, Hilton will need to record an estimate for an allowance for credit losses that represents the amount that Hilton does not expect to collect on its receivables.[3] The allowance is based on the recorded amortized cost basis of the receivables[4] and should consider available information relevant to estimating the collectability of cash flows. Such information could include but is not limited to internal information, external information, historical information, current conditions, and reasonable and supportable forecasts.[5]

Generally, when determining the allowance for credit losses on Hilton's receivables, the allowance should not be determined on a receivable by receivable basis, but instead receivables should be pooled together by customer and grouped with other customers that share similar risk characteristics. For example, Hilton will typically pool together all receivables that are due from all hotels (i.e., customers) in the same country or region and determine the appropriate allowance for credit losses for the pool of customers and record a general reserve for expected credit losses. If it is determined that a customer does not share similar risk characteristics with the other customers, then the allowance should be determined on an individual basis and the customer should not be included within a pool of customers.[6] However, upon the initial recognition of a receivable, the receivable is expected to be included within a pool of receivables unless the current receivables associated with that customer already have a specific reserve recorded. If a specific reserve is already recorded, refer to the **Subsequent Measurement** section below for further guidance on specific reserves.

General Reserves

In determining the general reserve for credit losses there are various acceptable methods that may be used.[7] For Hilton's receivables, the estimate of the allowance for credit losses, for each pool of customers, will be based on that pool's historical loss rate, adjusted upwards or downwards based on how forecasted future economic conditions compare to the economic conditions over the same period that was used when determining the pool's historical loss rate to arrive at the pool's expected loss rate.[8] Each pool's expected loss rate will then be multiplied by the pool's gross aggregate receivable balance in order to determine the general reserve for credit losses for that pool's customers.[4] Hilton would not expect the general reserve for credit losses for a pool of customers to equal zero.[9]

Illustration 1 – Recording a General Reserve

Facts:

At the end of January 20XX Hilton has $10.0 million of gross receivables outstanding and a related general reserve of $0.3 million all related to customers from a specific region. Hilton has also determined that all of the customers share similar risk characteristics. The expected loss rate for this specific region is 5.0%.

Analysis:

Since all of the customers share similar risk characteristics as one another, Hilton will need to pool all of the customers together and record the change in the general reserve related to the pool of customers.

[3] *ASC 326-20-30-1 and 30-6, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[4] *ASC 326-20-30-5, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[5] *ASC 326-20-30-7, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[6] *ASC 326-20-30-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[7] *ASC 326-20-30-3, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[8] *ASC 326-20-30-9, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[9] *ASC 326-20-30-10, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*

Conclusion:

Hilton will calculate its general reserve for these customers by multiplying the $10.0 million gross receivable balance by the 5.0% expected loss rate for this specific region, resulting in a general reserve of $0.5 million.

The following entry was recorded in order to adjust the general reserve from $0.3 million to $0.5 million:

DR: Bad Debt Expense	$0.2M	
CR. Allowance for Credit Losses		$0.2M

Specific Reserves

Generally, receivables for new customers would not initially be expected to be evaluated on an individual basis and would only be specifically reserved for after its initial recognition, refer to the **Subsequent Measurement** section for further guidance.

SUBSEQUENT MEASUREMENT

a. General Reserves

Each reporting period, each customer that is part of a pool of customers should be reassessed to determine whether the customer continues to share similar risk characteristics as the other customers within the pool. If a customer no longer displays similar risk characteristics as the other customers within the pool, then that customer may need to be moved and grouped into a different pool of customers or assessed on an individual basis (refer to the **Specific Reserves** subsection below for further guidance regarding assessing customers on an individual basis).[10]

Additionally, each reporting period, the historical loss rates used in determining the general reserve associated with each pool of customers, must be reviewed and updated with the most recent historical loss information. The historical loss rates may also be adjusted upwards or downwards based on any changes in the forecasted future economic conditions to arrive at the pool's new expected loss rate. Each pool's new expected loss rate will then be multiplied by the pool's gross aggregate receivable balance in order to determine the current general reserve for credit losses for that pool's customers. Any adjustment necessary in order to adjust the reserve to the new estimate shall be recorded as a General and administrative expense or Other expenses from managed and franchised properties in Hilton's Consolidated Statement of Operations based on the fee or reimbursement associated with each receivable.[11]

b. Specific Reserves

New Specific Reserves

Later events and new information could indicate that a customer no longer shares similar risk characteristics as the other customers within its pool or another pool and therefore must be removed from its pool and assessed on an individual basis.[12] Generally, Hilton believes that if an individual customer meets one of the following four criteria that it should be assessed on an individual basis:

- The customer has declared bankruptcy or financial default.
- The customer's hotel has been removed from Hilton's reservation system.
- The agreement between Hilton and the customer has been terminated.
- Hilton has determined that the customer is experiencing cash flow or other issues which impacts their ability to pay.

If a customer is assessed on an individual basis, a specific reserve should be recorded for that customer based on its own facts and circumstances instead of a general reserve in order to appropriately reflect Hilton's risk of loss associated with that customer.

[10] *ASC 326-20-35-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[11] *ASC 326-20-35-1, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[12] *ASC 326-20-35-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*

In determining the specific reserve, if Hilton determines there is a range of potential losses, Hilton will accrue for the most likely scenario under the range of potential losses. If there is an equal probability for all scenarios in the range, Hilton will accrue the lowest amount in the range of potential losses. Determining the range or amount of loss will require judgment and careful consideration of the customer's financial condition and the relevant facts and circumstances.

Illustration 2 – Recording a Specific Reserve

Facts:
A customer has total receivables due to Hilton of $0.3 million. Hilton has learned that the customer has filed for bankruptcy and determined that it would not collect 100% of the receivable due. Hilton determined that there was a range of potential losses that it would incur with the most likely scenario resulting in a $0.2 million loss.

Analysis:

Although the customer has represented to us that the receivable will be paid in full, the bankruptcy is indicative that the customer no longer shares similar risk characteristics with other customers in its pool and therefore, should be evaluated on an individual basis for a specific reserve. Accordingly, Hilton will exclude the gross accounts receivable balance for this customer from its general reserve calculation.

Conclusion:

Since Hilton has determined that the most likely scenario results in Hilton incurring a $0.2 million loss, a specific reserve of $0.2 million will be recorded. Additionally, Hilton documented the nature of known financial difficulties and that it believes that a loss of $0.2 million is the most likely scenario.

The following entry was recorded:

DR: Bad Debt Expense	$0.2M	
CR: Allowance for Credit Losses		$0.2M

Further, once a specific reserve is recorded, careful consideration should be given as to whether Hilton still believes that it will collect substantially all of the consideration to which it is entitled from that customer on a go forward basis.

- If it is still probable that Hilton will collect substantially all of the consideration to which it is entitled on a go forward basis, revenue should be recognized in accordance with the **FP-FIN-020 – Revenue Recognition** and **FP-FIN-030 – Revenue R**ecognition **- Management & Franchise Contracts** accounting policies.
- If it is no longer probable that Hilton will collect substantially all of the consideration to which it is entitled to or a specific fee on a go forward basis, Hilton would prospectively recognize revenues only when it meets one of the three criteria as it would relate to the total consideration or the specific fee, as described in the **Initial Recognition and Measurement** section above. Any cash received should be recognized as deferred revenue until one of those criteria have been met or the conclusion related to the probability of collection has changed.

For all customers that are assessed on an individual basis, the following must be documented:

- Why the customer no longer shares similar risk characteristics with customers within its pool or another pool (i.e. the customer meets one of the four criteria for a specific reserve)
- The rationale for amount reserved and
- Whether it is probable that Hilton will collect substantially all of the consideration to which it is entitled from that customer on a go forward basis.

When cash is collected related to a customer that has an associated specific reserve, the receivable and the corresponding specific reserve will be removed from the general ledger, with any difference recorded as a credit to bad debt expense for the portion of the receivable that previously had a specific reserve recorded.

Reassessment of Specific Reserves

Each reporting period, each customer with a specific reserve should be reassessed to determine whether its risk characteristics still meet one of the four criteria above and should continue to be assessed on an individual basis. If facts and circumstances have changed such that the customer now shares similar risk characteristics as other customers within a pool, the customer should no longer be assessed on an individual basis but should be moved and grouped with a pool of customers.[13] This could be indicated by, but is not limited to, any of the following:

- Hilton collected a portion of or all of the outstanding receivable balances related to the customer that has been partially or fully reserved.
- There has been a consistent payment history over a period of several consecutive months.
- If available, financial projections indicate that the customer's operations are sufficiently profitable to fully cover Hilton's fees over the next twelve-month period.

Additionally, if it is determined that the customer should be moved and grouped with a pool of customers and previously the accrual basis for recognizing revenue was discontinued related to this customer, then going forward, revenue should be recognized in accordance with the **FP-FIN-020 – Revenue Recognition** and **FP-FIN-030 – Revenue Recognition - Management & Franchise Contracts** accounting policies as it is considered probable that Hilton will collect substantially all consideration to which it will be entitled from that customer on a go forward basis.

Further, the specific reserve should be removed with a corresponding credit to bad debt expense. The facts and circumstances that changed for why a customer is no longer specifically reserved for should be clearly documented.

c. Write-Offs of Accounts Receivables

Hilton pursues all outstanding receivables using gradually escalating means of collection including dialogue with the customer, interest penalties on past-due amounts, removing the property from the Hilton system and legal action.

Each reporting period, Hilton maintains receivables on its general ledger until the earlier of receipt of payment or it is determined that the receivable is uncollectable. Receivables that are determined to be uncollectable should be written off in the period in which they are determined to be uncollectable.[14] If the customer is in bankruptcy, Hilton will maintain the receivable on its general ledger until the finalization of priority and the amount to be received indicates that it will be less than the outstanding receivable balance.

When a receivable is written off, the receivable and any corresponding specific reserve will be removed from the general ledger, with any difference recorded as a bad debt expense for the portion of the receivable that did not previously have a specific reserve recorded. All amounts written off should be documented and tracked at the customer level.

d. Recoveries of Write-Offs

In certain cases, Hilton may receive a cash payment for receivables that were previously written off, which constitutes a recovery of the receivable. Hilton will record recoveries of receivables previously written off when cash is received as a credit to bad debt expense.[15] All recoveries of receivables previously written off should be documented and tracked at the customer level.

PRESENTATION

a. Allowance for Credit Losses

Hilton will present the allowance for credit losses on its receivables as an offset to the corresponding receivable balance in Accounts receivable, net of allowance for credit losses on Hilton's Consolidated Balance Sheet.[15]

[13] *ASC 326-20-35-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[14] *ASC 326-20-35-8, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[15] *ASC 326-20-30-1, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Recognition of a general or specific reserve or a change in a general or specific reserve	- Accounts receivable, net of allowance for credit losses (credit / debit)	- General and administrative (debit / credit); or - Other expenses from managed and franchised properties (debit / credit)	- Operating Activities (reconciling item to net income)
Recognition of receipt of cash associated with a specific reserve (includes the scenario where the receivable was not 100% reserved for at the time of receipt)	- Accounts receivable, net of allowance for credit losses, (credit); - Cash and cash equivalents (debit)	- General and administrative (credit); or - Other expenses from managed and franchised properties (credit)	- Operating Activities (reconciling item to net income)
Write-off of a receivable and the related specific reserve (includes the scenario where the receivable was not 100% reserved for at the time of the write-off)	- Accounts receivable, net of allowance for credit losses (credit)	- General and administrative (debit); or - Other expenses from managed and franchised properties (debit)	- Operating Activities (reconciling item to net income)
Recognition of a concession provided to a customer	- Accounts receivable, net of allowance for credit losses (credit)	- Franchise and licensing fees (debit); - Base and other management fees (debit); - Incentive management fees (debit); - Other revenues (debit); or - Other revenues from managed and franchised properties (debit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

FP-FIN-010 – Financing Receivable Accounting Policy

FP-FIN-020 – Revenue Recognition

FP-FIN-030 – Revenue Recognition - Management & Franchise Contracts

FP-OPSFIN-125 – Bad Debt Reserve and Write-offs

TERM/ACRONYM	DEFINITION
Amortized Cost Basis	The amount at which a trade receivable is originated or acquired, adjusted for applicable accrued interest, accretion, or amortization of premium, discount, and net deferred fees or costs, collection of cash, write offs, foreign exchange, and fair value hedge accounting adjustments.
Concession	Any action undertaken on behalf of a specific customer (e.g., owner, franchisee or other debtor to Hilton) by Hilton that is not required pursuant to the terms of the original contractual arrangement between the parties.
Customer	A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.
General Reserve	The reserve established for all customers for which we have not recorded a specific reserve. General reserves are calculated using an expected loss rate based on historical loss information and future forecasted economic conditions for a pool of customers with similar risk characteristics. The expected loss rate is then multiplied by the pool's gross aggregate receivable balance in order to determine the current general reserve for credit losses.
Probable	The future event or events are likely to occur.
Reinsurance Recoverable	All amounts recoverable from reinsurers for paid and unpaid claims and claim settlement expenses, including estimated amounts receivable for unsettled claims, claims incurred but not reported, or policy benefits.
Specific Reserve	A specific allowance that is recorded related to a specific customer. A specific reserve is recorded on customers that no longer share similar risk characteristics as other customers and therefore is assessed on an individual basis. Customers that meet one of the following four criteria should be assessed on an individual basis for a specific reserve: • The customer has declared bankruptcy or financial default. • The customer's hotel has been removed from Hilton's reservation system. • The agreement between Hilton and the customer has been terminated. • Hilton has determined that the customer is experiencing cash flow or other issues which impacts their ability to pay.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearchPolicy@Hilton.com	The email represents the R&P contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the R&P team or the listed e-mail.